

CS4001- Professional Practices in IT

FALL 2024

Course Instructor: Anaum Hamid

Email address: anaum.hamid@nu.edu.pk

What is an organization

- ▶ Introduction

- ▶ An organization is a group of people working together in a formal way. Legal existence is must for an organization.

Examples:

schools and colleges, hospitals, banks. These all are organizations as people work in these together in an organized way and formal way.

- ▶ we can work for a private company or a government department, both are organizations
- ▶ Even we can set a business and make our own organization
- ▶ Is a jail an organization?????????

COMMERCIAL ORGANIZATIONS

- ▶ People with particular skill set, strategy, resources, or priorities work together to turn a profit.
- ▶ The law offers several different ways of setting up and operating a commercial organization.
 - ▶ Depending on the circumstances, the business may be operated as a *sole trader*, a *partnership*, a *cooperative*, or a *limited company*.

NON-COMMERCIAL BODIES

- ▶ Non-profiting
- ▶ Staff working as volunteers or nominal pay
- ▶ Charity or Government runs it

Sole trader/ proprietor

- ▶ A sole trader is an individual who runs their own business.
- ▶ There are no legal formalities attached to becoming a sole trader; you become a sole trader simply by starting to run a business.
- ▶ If the income of your business is large enough, you can get registered with customs and tax, but neither of these is necessary simply in order to become a sole trader.
- ▶ *73% businesses in the US are on this approach.*

Risk for Sole trader

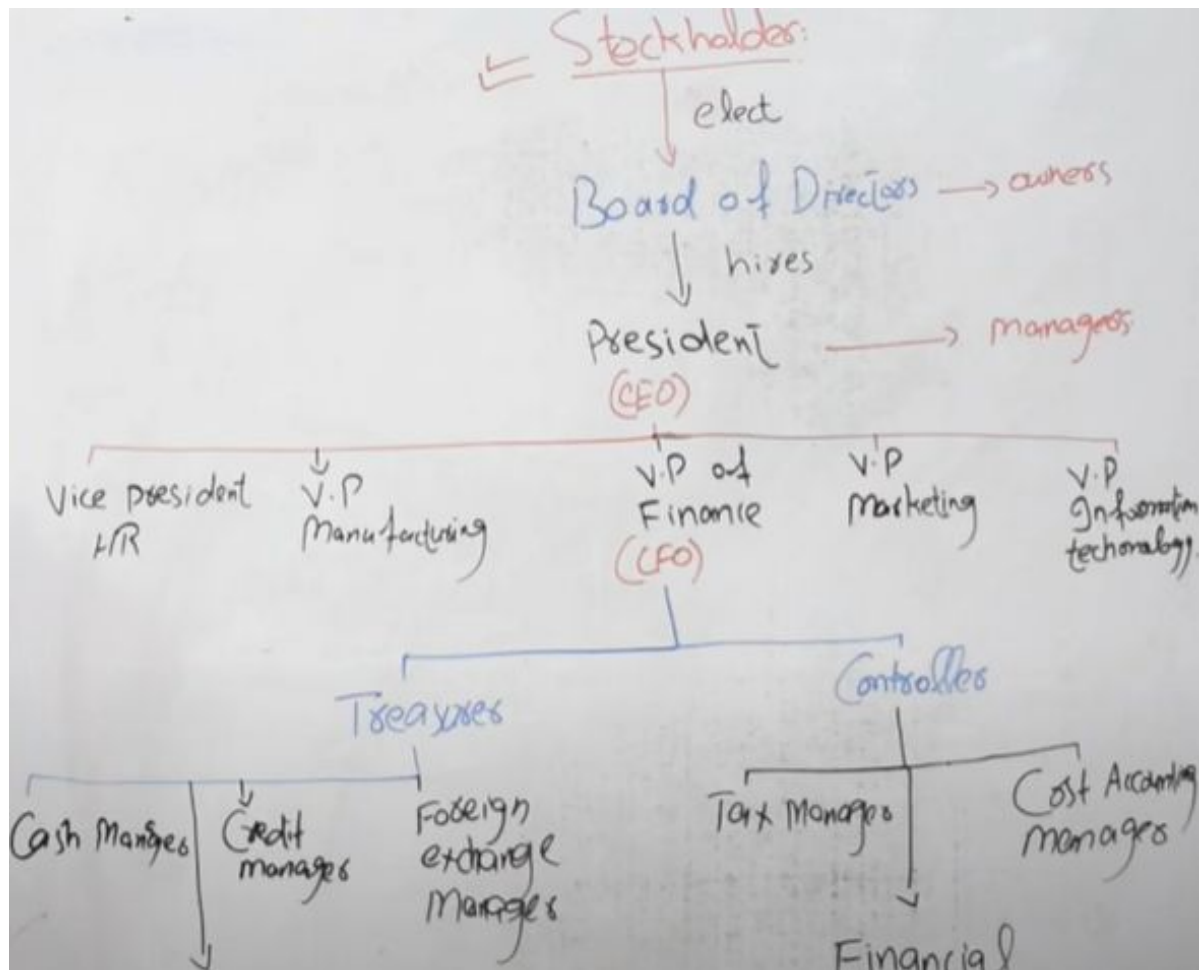
- ▶ A sole trader is personally liable for all the debts of the business so that all the trader's assets, including the family home, are at risk if the business fails.
- ▶ Personal assets are on risks.

Partnership

- ▶ If a group of people carry on a business with a view to making profits, and the business is not a limited company, then the law will treat them as being in a *partnership*.
- ▶ *7% businesses in the US are on this approach.*
- ▶ *Article of partnership*
- ▶ *Difficult to liquidate.*
- ▶ *Nontransferable.*
- ▶ *Partnership agreement dissolve if one of the partner is dead.*
- ▶ *Problem factor*
 - ▶ *Share rate*

COOPERATIVES

- ▶ Cooperatives are another way in which an organization can acquire a legal existence. They are important in fields such as agriculture and enjoy a special legal status.
- ▶ Stockholders- common and preferred stockholders
- ▶ *90% of revenue is generated by Cooperate sector in any economy.*
- ▶ *Legal entity.*
- ▶ *Legal power reside to sue and to be sued.*
- ▶ *Double taxation.*
- ▶ *No secrecy*



LIMITED COMPANIES

There are three principles that are fundamental to the concept of a limited liability company:

- ▶ The company has corporate legal identity, that is, it is a legal person, completely separate from the people who work in it or the people who own it.
- ▶ The ownership of the company is divided into a (usually large) number of shares. These shares can be bought and sold individually. The people who own these shares are known as the members of the company or shareholders.
- ▶ In the event that the company incurs debts or other legal liabilities, the owners of the company have no obligation to pay these. The most that shareholders stand to lose is the money they paid for their shares.

THE CONSTITUTION OF A LIMITED COMPANY

In order for a company to be registered, it must have a constitution. This consists of two documents:

- ▶ the *memorandum of association* and
- ▶ the *articles of association*.

Memorandum

It is a document which includes :

- ▶ Name of the company should be not used before and it should not contain certain words like country name or ambiguous names
- ▶ The country (name or names) in which its registered office will be located
- ▶ The objects of the company: This is a statement of the type of business in which the company will engage. This may simply state that its object is to carry on business as a general commercial company, without being any more specific.
- ▶ A liability clause: In the case of a company limited by shares, this clause merely states that the liability of the members is limited.
- ▶ The company's authorized share capital and the number and nominal value of its shares

declaration of association

The memorandum will conclude with a *declaration of association* along the following lines:

We, the several persons whose names, addresses and descriptions are written below, are desirous of being formed into a company in pursuance of this Memorandum of Association, and we respectively agree to take the number of shares in the capital of the company set out opposite our respective names.

Table A

In order to simplify the setting up of companies, the Companies Act 1948 included a specimen set of articles of association, which have been regularly updated; these are known as *Table A*. *Most companies* now adopt Table A as the basis of their articles of association and specify only the way in which their articles differ from Table A.

DIRECTORS

- ▶ The one who runs or direct the company
- ▶ Has duty towards shareholders as well as company employees
- ▶ Must devote himself to the companies benefits and avoid personal interest
- ▶ Is liable for any wrong decision

SETTING UP A COMPANY

How would you set a company ?

- ▶ A limited company is created by a group of people each agreeing to subscribe a certain amount of money to set up an organization to pursue some stated goal and
- ▶ to register the organization as a limited company in accordance with the law
- ▶ Hire an accountant and legal advisor (optional)
- ▶ Buying a template company or off-the-shelf company from an agent and customize it accordingly